

ClearPath Service Operations SOP

Document: 06 of 10 Phase: Phase 2 Status: Complete Generated: 2026-04-04

Overview

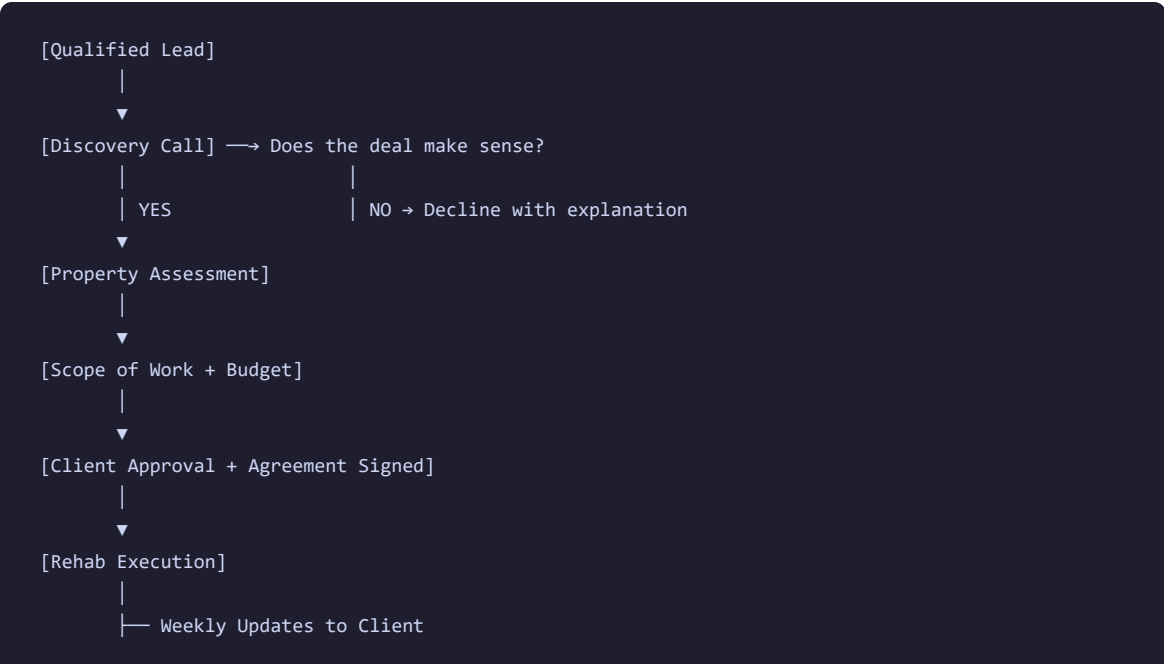
This document defines the standard operating procedure for the ClearPath Asset Group — the execution arm that takes qualified investors from "I have a deal" to "I have a performing asset." All operations are within Cook County, IL (Chicago + suburbs).

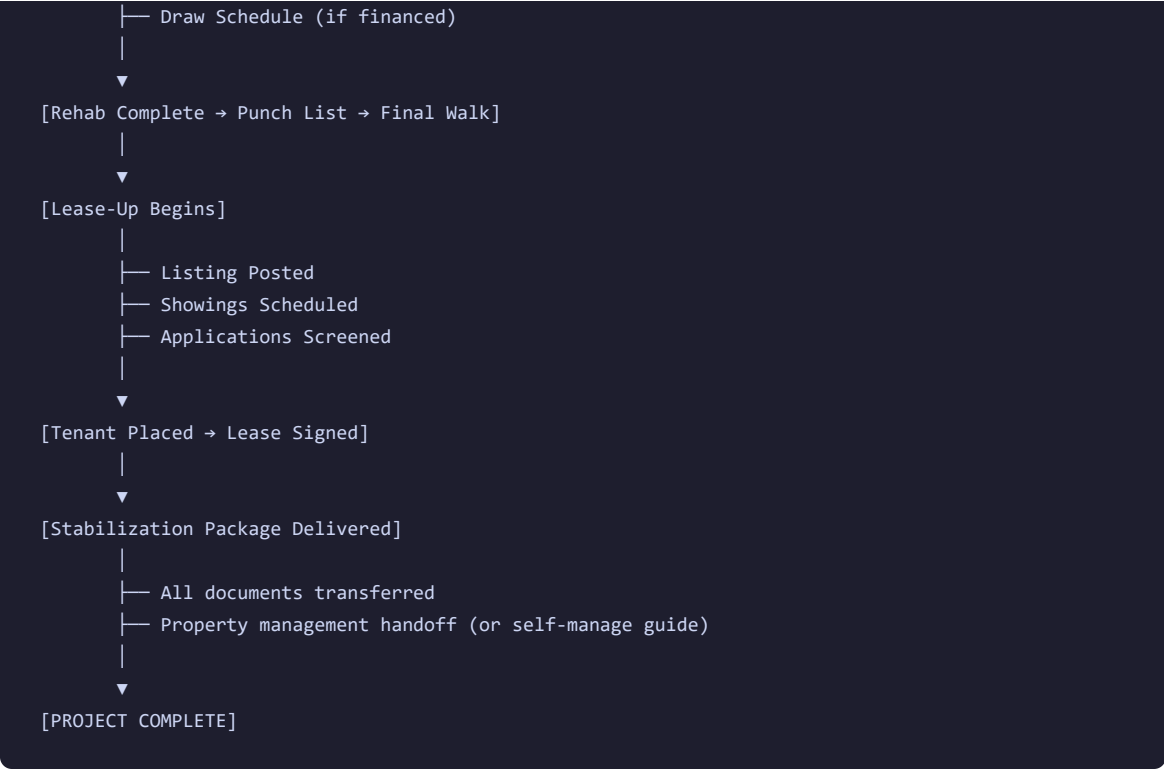
Three Core Services:

SERVICE	WHAT WE DO	TIMELINE
Rehab Management	Scope, permit, execute, and close out renovation	6–16 weeks
Lease-Up	Market, screen, and place tenants	2–4 weeks
Stabilization	Hand off a cash-flowing, tenant-occupied property	1–2 weeks post-lease

End State: Client receives a stabilized, rent-producing asset with all documentation.

Service Flow (End to End)





Phase 1: Discovery & Qualification

Discovery Call (30 min)

Objective: Determine if the deal is viable and the client is a fit.

Checklist:

ITEM	QUESTION / ACTION
Property address	Confirm it's in Cook County
Purchase status	Under contract? Closed? Still looking?
Budget	What's their total rehab budget?
Strategy	Flip or hold?
Timeline	When do they need it done?
Financing	Cash, conventional, DSCR, hard money?
Experience level	First deal or experienced?
Expectations	What does "done" look like to them?

Outcome:

-  **Proceed** → Schedule property walkthrough
-  **Decline** → Send "not a fit" email with reason + referral if possible
-  **Hold** → Client not ready yet → Move to **nurture** in CRM

Property Assessment (On-Site)

Who: Project manager or lead contractor **When:** Within 5 business days of discovery call **Duration:** 1–2 hours

Assessment Checklist:

CATEGORY	ITEMS TO INSPECT
Structural	Foundation, load-bearing walls, floors
Roof	Age, condition, leaks, gutters
HVAC	Furnace age, AC, ductwork
Plumbing	Supply lines (copper/PEX/galvanized), drain condition, water heater
Electrical	Panel amperage, knob & tube?, GFCI in wet areas
Kitchen	Layout, cabinets, counters, appliance plan
Bathrooms	Vanity, tile, tub/shower condition
Cosmetic	Paint, flooring, trim, fixtures
Exterior	Siding, windows, landscaping, garage
Code / Permits	Any open violations? Chicago dept. of buildings check

Output: Written assessment with photos → feeds into Scope of Work.

Phase 2: Scope of Work & Budget

Scope of Work (SOW) Document

Generated within 3 business days of property assessment.

SOW Format:

```
Project: [Address]
Client: [Name]
Date: [Date]
Strategy: [Flip / Hold]
Condition Tier: [Cosmetic / Light / Medium / Heavy / Gut]
```

LINE ITEMS				
Category	Item	Qty	Unit Cost	Total
Demo	Interior gut demo	1	\$3,500	\$3,500
Framing	Reconfigure kitchen	1	\$2,800	\$2,800
Electrical	Panel upgrade (200A)	1	\$2,200	\$2,200
Electrical	Rewire (full)	1	\$4,500	\$4,500
Plumbing	Rough-in (2 bath)	2	\$1,800	\$3,600
HVAC	New furnace + AC	1	\$5,500	\$5,500
Drywall	Hang + finish	1	\$4,000	\$4,000
Kitchen	Cabinets + counters	1	\$4,500	\$4,500
Kitchen	Appliance package	1	\$2,000	\$2,000
Bathroom 1	Full remodel	1	\$3,500	\$3,500
Bathroom 2	Full remodel	1	\$3,500	\$3,500
Flooring	LVP throughout	1,400sf	\$3.50	\$4,900
Paint	Interior (full)	1	\$2,500	\$2,500
Exterior	Tuckpointing	1	\$3,000	\$3,000
Windows	Replace (8 windows)	8	\$450	\$3,600
Landscaping	Basic cleanup	1	\$800	\$800
Permits	City of Chicago	1	\$1,500	\$1,500
Dumpsters	30-yard (x2)	2	\$600	\$1,200
SUBTOTAL				\$57,100
Contingency (10%)				\$5,710
TOTAL BUDGET				\$62,810

Client receives:

- 1. SOW document (PDF)
- 2. Estimated timeline (Gantt-style or simple milestone list)
- 3. Payment / draw schedule

Budget Tiers (Quick Reference)

CONDITION	BUDGET RANGE (PER PROPERTY)	TYPICAL TIMELINE
Cosmetic	\$8,000 – \$20,000	2–4 weeks
Light	\$20,000 – \$40,000	4–6 weeks
Medium	\$40,000 – \$65,000	6–10 weeks
Heavy	\$65,000 – \$100,000	10–14 weeks
Gut	\$100,000 – \$180,000	14–20 weeks

Client Approval & Agreement

Before any work begins, the client must sign:

DOCUMENT	PURPOSE
Service Agreement	Defines scope, timeline, payment terms, ClearPath responsibilities
SOW Approval	Client signs off on specific line items and budget
Draw Schedule	Payment milestones (if applicable)

Payment Structure (Standard):

MILESTONE	PAYMENT DUE
Agreement signed	25% of total budget
Rough-in complete (electrical, plumbing, HVAC)	25%
75% completion (drywall, flooring, kitchen)	25%
Final walk + punch list cleared	25%

Phase 3: Rehab Execution

Project Management Standards

REQUIREMENT	STANDARD
Daily check-ins	PM or lead contractor on-site or in contact daily
Weekly client updates	Sent every Friday — photos + progress summary
Change order process	Any scope change > \$500 requires written client approval before work begins
Timeline tracking	Internal milestone tracker updated weekly
Budget tracking	Running cost sheet updated with every invoice

Weekly Update Template

WEEKLY UPDATE – [Address]
Week [#] | [Date Range]

✓

COMPLETED THIS WEEK:

-

Electrical rough-in passed inspection

-

Drywall hung in all bedrooms

-

Kitchen cabinets delivered

🔧

IN PROGRESS:

-

Drywall finishing (tape, mud, sand)

-

Plumbing trim

📅

NEXT WEEK:

-

Flooring install begins

-

Kitchen counter template

⚠️

ISSUES / CHANGE ORDERS:

-

Found galvanized drain in basement – recommend replacing

→

Additional cost: \$1,200

→

Client approval: PENDING

💰

BUDGET STATUS:

-

Spent to date: \$34,200 / \$62,810

-

On track: YES

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PHOTOS: [Link to shared folder]

Inspection Milestones (Cook County / City of Chicago)

INSPECTION	WHEN	WHO CALLS
Permit pulled	Before work starts	ClearPath
Rough-in (electrical)	After wiring, before drywall	Electrician
Rough-in (plumbing)	After rough, before drywall	Plumber
Framing (if structural)	After framing, before drywall	ClearPath
Final building inspection	After all work complete	ClearPath
Certificate of occupancy (if applicable)	After final inspection	City

Punch List Process

After the rehab is "done" — before calling it complete:

1.

PM does a full walk-through with the **ClearPath Punch List Checklist**
2.

All items documented with photos
3.

Contractors return to fix all items (no additional charge)
4.

PM does a second walk-through to confirm

- 5. **Client final walk** — any remaining items noted and resolved
- 6. Client signs **Rehab Completion Acknowledgment**

Phase 4: Lease-Up

Marketing the Property

Timeline: Listing goes live within **3 business days** of rehab completion.

CHANNEL	ACTION
Zillow / Trulia / HotPads	Syndicated listing via Zillow Rental Manager
Facebook Marketplace	Posted with photos + key details
Craigslist	Posted in Chicago housing section
Yard sign	Installed at property
ClearPath network	Emailed to local agent/PM contacts

Listing Requirements:

- Minimum 15 professional photos
- Floor plan (if available)
- Rent price (from ClearPath Analyzer or market research)
- Key features listed (updated kitchen, new HVAC, etc.)
- Application link included in listing

Tenant Screening Criteria

CRITERION	MINIMUM STANDARD
Credit score	600+ (flexible with strong income)
Income	3× monthly rent (gross)
Rental history	2+ years, no evictions
Criminal background	No violent felonies in past 7 years
Employment	Verified current employment or proof of income
References	1 previous landlord + 1 personal

Compliance: All screening follows Fair Housing Act + Cook County Human Rights Ordinance. No discrimination based on source of income (Section 8 accepted per Cook County law).

Lease Execution

STEP	ACTION	WHO
Application received	Screen tenant within 48 hours	ClearPath
Tenant approved	Send lease for signature	ClearPath
Lease signed	Collect security deposit + first month	ClearPath
Move-in inspection	Document condition with photos + checklist	ClearPath
Keys handed over	Tenant moves in	ClearPath

Lease Terms (Standard):

- 12-month lease
- Security deposit = 1 month rent
- Late fee = \$50 after 5-day grace period
- Tenant responsible for utilities (gas, electric, water if separately metered)

Phase 5: Stabilization & Handoff

Stabilization Package

Once the tenant is placed and rent is flowing, ClearPath delivers the **Stabilization Package** to the client:

DOCUMENT	CONTENTS
Final Rehab Report	SOW vs. actuals, total spend, before/after photos
Executed Lease	Signed copy of tenant lease
Tenant Profile	Name, contact, employer, income verification
Move-In Inspection	Photo documentation of property condition at move-in
Warranty Info	Any active warranties (appliances, HVAC, roof, etc.)
Contractor Contacts	List of contractors used + their specialties

Property Tax Info	Current tax bill + appeal status if applicable
Insurance Recommendation	Landlord policy quote or current policy details
Cash Flow Projection	Updated cash flow based on actual rent + expenses

Property Management Handoff

Option A: Client self-manages

- ClearPath provides a "Self-Management Starter Kit" (lease enforcement guide, maintenance contacts, rent collection setup via Rentec/Apartments.com)

Option B: ClearPath refers to PM company

- Warm handoff to a vetted Cook County property management company
- ClearPath provides all stabilization docs to new PM

Option C: ClearPath manages (Phase 3 expansion)

- Ongoing PM at 8–10% of monthly rent
- Not available in MVP — future service line

Internal Team Structure (MVP)

ROLE	RESPONSIBILITY	PERSON (MVP)
Project Manager	Assessment, SOW, client communication, inspections	Founder / Lead
General Contractor	Executes rehab per SOW	Contracted (1–2 trusted GCs)
Leasing Agent	Listings, showings, screening, lease signing	Founder or VA
Admin	CRM updates, document assembly, email coordination	VA or automation

KPIs to Track

METRIC	TARGET
Assessment → SOW delivery	≤ 3 business days
SOW approval → Rehab start	≤ 5 business days
Rehab completion vs. estimated timeline	Within 1 week

Budget variance	≤ 10% over
Days on market (lease-up)	≤ 21 days
Tenant placement rate	100% (no vacant handoffs)
Client satisfaction (post-project survey)	≥ 4.5/5

Guardrails

- **Never start work without a signed agreement and first draw payment**
- **Never exceed budget without written client approval (change order)**
- **Never skip inspections** — Cook County violations can kill a deal
- **Never place a tenant without full screening** — evictions destroy cash flow
- **Always document everything** — photos, receipts, communications

Next Document → `07_sales.md` — Sales Script + Qualification